

Alphabet Inc.

GOOGL NASDAQ

Buy	\$356.37 ▲ 1.95%	12M Price Target \$400.00	52-Week Range \$235.84 – \$408.61	Market Cap \$4.36T
-----	------------------	------------------------------	--------------------------------------	-----------------------

GOOGL: Antitrust Overhang Lifting, AI Monetization Kicking In

WHAT HAPPENED

- Stock ripped +1.95% to \$356 — new all-time high territory (70% of 52-week range) — on the back of a broad Communication Services rally (+3.80% for the sector). Translation: this isn't a GOOGL-specific catalyst, it's the market re-rating the whole ad/media/AI complex, and GOOGL is the biggest name in it.
- The EU slapped a \$463M fine over location data — but the stock shrugged it off. That tells you something important: this is a rounding error for a company doing \$100B+ in quarterly revenue, and the market has fully digested EU regulatory risk as "cost of doing business."

WHY IT MATTERS

The options flow is screaming bullish — a 0.37 put/call ratio (meaning investors are buying nearly 3 calls for every put, betting on upside) plus massive unusual call buying at the \$355 strike expiring this week suggests someone with size is positioning for continued momentum. Combine that with 81% institutional ownership and the fact that Alphabet is trading at a discount to Microsoft and Meta on forward earnings, and you have the classic setup for a "catch-up trade" — where the laggard in a group finally gets its re-rating. The bigger inference: after the DOJ antitrust ruling last year that spared Chrome from divestiture, the political overhang that kept Alphabet trading at a discount is dissolving. The market is finally willing to pay for Gemini, Waymo, and Google Cloud as real businesses instead of science projects.

POLICY & POLITICAL WATCH

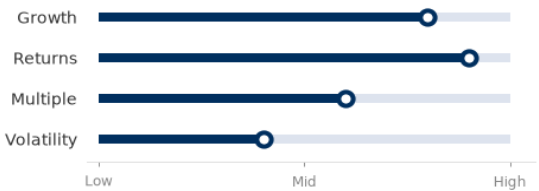
Two things to watch: (1) The Trump administration's AI Action Plan continues to favor domestic AI champions with lighter regulatory touch than the Biden-era executive orders — this is a direct tailwind for Alphabet's AI infrastructure buildout. (2) Treasury Secretary Bessent's comments today about "China progress" matter because any de-escalation on tech trade helps GOOGL's Android/hardware supply chain and keeps their ad business flowing from Chinese exporters (Temu, Shein, etc. are huge Google ad buyers). The EU is the ongoing headwind — today's \$463M fine is small, but the Digital Markets Act enforcement keeps grinding, and there's chatter about a new EU AI liability framework that could bite in 2027.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$356.37
12M Price Target	\$400.00
Upside / (Downside)	+12.2%
Market Cap	\$4.36T
FY2026E Revenue	\$415M
FY2027E Revenue	\$470M
FY2026E EPS	\$9.80
FY2027E EPS	\$11.50
Fwd P/E	36.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$375.00	\$362.00	\$335.00
6 Months	\$410.00	\$385.00	\$320.00
1 Year	\$450.00	\$400.00	\$310.00
2 Years	\$540.00	\$460.00	\$300.00
5 Years	\$750.00	\$600.00	\$350.00
10 Years	\$1200.00	\$850.00	\$400.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+3.80% today) and Technology (+2.39%) — the AI trade is back on after Bessent's China comments reduced tail risk, and Micron's memory demand comments confirm the AI infrastructure cycle is still accelerating.

COOLING OFF: Real Estate and Industrials are flat-to-down — money is leaving defensive/rate-sensitive plays and moving into growth as rate cut expectations firm up.

ROTATION WATCH: Classic risk-on rotation into mega-cap tech and AI beneficiaries. When Comm Services outperforms Tech by 140bps in a single day, that's specifically an ad/media/GOOGL/META rotation, not a broad tech move.

RELATED PLAY: If you believe the GOOGL AI capex story, the picks-and-shovels play is Nvidia (chips), Vertiv (data center cooling), and the data center REITs like Equinix and Digital Realty — they get paid regardless of whose AI wins.

WHO'S WINNING IN THIS SPACE?

- META (Meta Platforms): Riding the same ad-tech AI monetization wave — Reels + AI ad targeting are firing on all cylinders.
- MSFT (Microsoft): Copilot enterprise adoption finally showing up in Azure numbers, validating the whole enterprise AI thesis.

GOOGL CONTEXT: GOOGL is now leading the Mag 7 group off its lows — it was the laggard for most of 2024-2025 due to antitrust fear, and the catch-up trade is playing out exactly as you'd expect. At 70% of its 52-week range with momentum accelerating, the path of least resistance is higher until earnings.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 5-8% of portfolio

Entry Points: \$340-350 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Search revenue declines YoY or DOJ forces structural breakup

Hedging: Buy protective puts 10% out of the money, or pair with short position in a pricier AI name